

standards (of valuation) appear inapplicable; new standards have not yet been tested by time.” The second was that the investor “must base his policy on the existence of major uncertainties. The possibilities compass the extremes, on the one hand, of a protracted and further advance in the market’s level—say by 50%, or to 1350 for the DJIA; or, on the other hand, of a largely unheralded collapse of the same magnitude, bringing the average in the neighborhood of, say, 450” (p. 63). The third was expressed in much more definite terms. We said: “Speaking bluntly, if the 1964 price level is not too high how could we say that *any* price level is too high?” And the chapter closed as follows:

WHAT COURSE TO FOLLOW

Investors should not conclude that the 1964 market level is dangerous merely because they read it in this book. They must weigh our reasoning against the contrary reasoning they will hear from most competent and experienced people on Wall Street. In the end each one must make his own decision and accept responsibility therefor. We suggest, however, that if the investor is in doubt as to which course to pursue he should choose the path of caution. The principles of investment, as set forth herein, would call for the following policy under 1964 conditions, in order of urgency:

1. No borrowing to buy or hold securities.
2. No increase in the proportion of funds held in common stocks.
3. A reduction in common-stock holdings where needed to bring it down to a maximum of 50 per cent of the total portfolio. The capital-gains tax must be paid with as good grace as possible, and the proceeds invested in first-quality bonds or held as a savings deposit.